



Let us now identify the amount that we would need for our goals. Goals in bucket A & B are relatively near term and therefore we will take the best estimate of the amount of money we will need for the same. We need to conduct preliminary tests of the market of the current prices and take the best estimate for the range of amount we might need. We will learn how to deal with ranges when we do not have a fixed answer, very shortly.



Calculating the amount for goals to be met in bucket C is not limited to a simple best estimate. In this scenario, we use a different method. For starters, we identify the current cost of our goal. We estimate the amount we would need if we were to meet the goal today. For instance, if we had to buy a house in 10 years from today, then how much would it cost now in real-time. Next, we take this and increase it at the current inflation rate. A simple Google search, 'Current CPI Inflation in India', will give us the number to be used as the inflation rate. Then use the formula:

Amount Needed in 'n' years = Current Value × (1+ CPI Inflation %)ⁿ